

Decision and Risk Analysis

Lecture 1: **Bayesian Thinking for Risk and Decision Analysis**

DAEN 427/ISEN 427/ISEN 627

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Risk and Uncertainty

Often, a distinction is:

- **Choice under risk:** outcomes are uncertain, but the probabilities of those outcomes are known (or can be estimated reliably).
- **Choice under uncertainty:** outcomes are uncertain, and the probabilities of those outcomes are unknown.